[PROJECT : BATTERY-BACKED AI COMPUTE · MEAD, OKLAHOMA · US-70]

MEAD DATA CENTER

Phase 1A — a 64-GPU NVIDIA B200 cluster on land, power, and buildings we already own. Raised in two gated tranches: roughly $1,001,121 proves the site and the demand, and not one dollar of the $3,634,000 server tranche is called until capacity commitments are signed. Underwritten at $4.00/GPU-hr — below our own target.

no signed demand, no servers →

64×	**$4,635,121**	**$1,001,121**	**$4.00**	**8%**
NVIDIA B200 GPUS 60 RENTABLE	ALL-IN CAPEX TWO GATED TRANCHES	TRANCHE 1 · AT RISK BEFORE THE DEMAND GATE	UNDERWRITING RATE TARGET $4.50	INVESTOR PREF THEN 80 / 20

[02 · THE OPPORTUNITY]

COMPUTE IS THE COMMODITY. CHEAP POWER IS THE EDGE.

AI compute demand keeps outrunning supply. The B200 — NVIDIA's current-generation workhorse — rents at a market median of **$6.12/GPU-hour** across independent multi-provider trackers this month, while AWS lists the identical silicon at **$14.24/GPU-hour**. The spread between what compute costs to operate and what it rents for is the business.

[MARKET · JULY 2026]

$6.12/hr

B200 on-demand median across independent indices. Full published range $3.50 aggregator → $14.24 AWS.

[TARGET]

$4.50/hr

Low end of the verified $4.50–$5.50 reserved band. What we intend to land. Uncontracted as of this edition — a target, not a signature.

[UNDERWRITING]

$4.00/hr

What every headline return in this memorandum is built on — below our own band. Cash operating cost is ~$1.24/billed GPU-hr; the operating floor is far beneath either number.

[WHY THIS PROJECT CLEARS THE MARKET]

TYPICAL GPU CLOUD ENTRANT	MEAD DATA CENTER
Leases colo space at $0.12–0.25/kWh	**Owns the site.** Oklahoma power at ~$0.08/kWh, behind-the-meter batteries from z1Power — a company we own.
Waits 12–24 months for grid interconnection	**3 MVA transformer already on site.** The 114.4 kW Phase-1A load uses about 4% of it.
Buys demand with marketing spend	**A verified five-channel demand stack** — and a hard gate: the server tranche is not callable until commitments are signed through it.
Rents bandwidth at metro prices	**Signed carrier quote in hand:** Dobson Fiber 100 Gbps symmetrical DIA, $8,075/mo on a 60-month term, install waived.

$1,502,070

Year-1 net operating income **at the underwriting rate** — a 71% operating margin covering operating costs 3.5× over. At the $4.50 target the same figure is $1,778,010. Every number derives from the July 2026 build blueprint, independently re-audited against live market data on 24 July 2026, with revenue modeled declining 10% a year.

[03 · THE ASSET — WHAT WE ALREADY OWN]

MOST GPU STARTUPS RENT THEIR MOAT. WE HOLD TITLE.

Phase 1A requires zero real-estate spend, zero interconnection queue, and zero retail battery markup. The infrastructure below is contributed to the project by the sponsor — investor capital buys compute, not dirt.

[LAND]

30 Acres · US-70

Owned outright in Mead, OK. Room for ~500 kW of solar on 2–3 acres if we ever want generation on site — 27 acres of expansion headroom after that.

[BUILDINGS]

3 × 3,000 sqft

Three existing structures. Phase 1A occupies Building 1; the HVAC retrofit and CRAC units are the only building spend. Buildings 2–3 are pre-built Phase 2/3 shells.

[POWER]

3,000 kVA · 208V 3Φ

On-site transformer carrying roughly 24× headroom over the Phase-1A IT load. HGX B200 accepts 200–240V three-phase natively. Oklahoma commercial power ≈ $0.08/kWh.

[BATTERIES]

z1Power LFP + UPS

We own z1Power.com — LFP battery systems land in the build at cost ($60,000), paired with Eaton 93PR modular UPS. Ride-through, peak-shaving, and a clean-power story tenants can cite.

[CONNECTIVITY · SIGNED CARRIER QUOTE — NOT AN ESTIMATE]

100 Gbps symmetrical Dedicated Internet Access from Dobson Fiber. **$8,075/mo on a 60-month agreement, installation waived.** Priced into the operating model at $96,900/yr. Fiber headroom for 60 rentable GPUs — and the mid-contract upgrade path — is an open item carried in the blueprint, not assumed away.

[WHAT PHASE 1A PHYSICALLY IS]

SYSTEM	CONFIGURATION	QTY
GPU servers	HGX B200 8-GPU (Supermicro) — 64 B200s, 60 rentable, 4 spares held outside all contracts	8
Fabric	QM9790 NDR 400Gb/s InfiniBand switches, 64 NDR optics (all GPUs cabled), ConnectX-7 spares	2
Storage	NVMe all-flash, 300 TB usable	1
Power	Eaton 93PR modular UPS, re-sized for the 114.4 kW load at N+1 · 300 kVA step-up 208→480V · z1Power LFP at cost	—
Cooling	4× 15-ton CRAC — 60 tons installed, 45 with one unit failed: **true N+1 above the load** · containment · clean-agent suppression	4
Infrastructure	48U server racks · switched 3-phase PDUs · structured cabling	9

Funded, not footnoted

The previous edition disclosed two open sizing items: cooling that fell below the 114.4 kW load with one CRAC failed, and a UPS specified for an earlier, smaller build. This edition funds the fixes as CAPEX lines — a fourth CRAC unit, a UPS re-size allowance, optics for all 64 GPUs — plus a licensed PE review of the power and cooling design and securities counsel for the offering documents. $113,400 total, itemised on the next page. A disclosure is not a mitigation; a budget line is.

[04 · THE BUILD — CAPEX & THE GATE]

$4,635,121 ALL-IN.
78% OF IT WAITS FOR SIGNATURES.

Every line survived a two-pass audit against vendor pricing on 24 July 2026, plus this edition's engineering-completion additions. The raise is structured so the single largest risk — buying $3,160,000 of depreciating silicon before demand is proven — cannot happen by construction.

CATEGORY	TOTAL
GPU Servers incl. shipping & install	$3,160,000
InfiniBand Fabric	$156,440
NVMe Storage (300 TB)	$120,000
Power Infrastructure (N+1 UPS)	$227,000
Cooling + Fire Suppression	$121,000
Racks, PDUs, Cabling	$36,500
Management Network	$7,700
Fiber Entry	$5,500
Soft Costs (incl. AURA)	$83,000
Engineering completion & counsel **(new)**	$113,400
Contingency (15%)	$604,581
TOTAL CAPEX	**$4,635,121**

Engineering completion & counsel breaks down as: 4th 15-ton CRAC unit $18,000 · UPS capacity re-size allowance (93PR modular add) $30,000 · 4× NDR optics $5,400 · Licensed PE review $25,000 · Securities counsel $35,000.

[TRANCHE 1 · CALLED AT CLOSE]

$1,001,121

Everything except servers: power infrastructure with the UPS re-sized, true-N+1 cooling, fiber live, storage, racks, management network, AURA, PE review, counsel, and onboarding into all five demand channels. Output: a certified, demand-connected site — and the only capital at risk before demand is proven.

[THE DEMAND GATE]

Tranche 2 is not callable until signed capacity commitments cover at least 24 GPUs (50% of reserved capacity) at ≥$4.00/GPU-hr — through channel contracts, a binding master-lease term sheet, or direct reservations. The gate test is contractual, not judgmental. This restores the discipline of the original project — no signatures, no spend — rebuilt for a channel model instead of six named tenants.

[TRANCHE 2 · POST-GATE]

$3,634,000

The 8 HGX B200 servers plus their contingency share. HGX lead time 8–16 weeks runs from the gate, and the fiber and site are already live when they land — revenue ~120 days after the gate clears, not after close.

Where the audit moved the numbers

Server pricing carried at $375,000/system (NVIDIA ran three 30% baseline increases through 2026; a formal quote is a gate item). QM9790 carried at $32,500 against a verified $28,443 reseller floor. NVMe is right-sized at $120,000 but perishable — NAND rose 70–75% QoQ in Q2 2026, so pricing locks at order. If the gate never clears, tranche 2 is never called and the maximum loss is tranche 1 — a certified site with owned land, power and fiber retains value; a warehouse of unrented GPUs does not.

[05 · REVENUE & UNIT ECONOMICS — YEAR 1]

60 GPUS RENTABLE. UNDERWRITTEN BELOW OUR OWN BAND.

64 physical GPUs (8 × 8); 4 spares held outside every contract, so a single-GPU failure is a re-map, not an SLA breach. 48 GPUs are modeled reserved (billed 24/7/365 regardless of utilisation) and 12 as an on-demand pool. The underwriting case prices reserved at $4.00 and the pool at 65% fill; the target case at $4.50 and 75%.

UNDERWRITING CASE	GPUS	RATE	ANNUAL
Reserved, 24/7/365	48	$4.00/hr	$1,681,920
On-demand pool, 65% util	12	$6.25/hr	$427,050
UNDERWRITING REVENUE	**60**		**$2,108,970**

OPERATING COST	ANNUAL
Power + cooling energy (114.4 kW IT full-server draw, $0.08/kWh)	$110,000
Fiber — Dobson 100G symmetrical DIA (signed quote)	$96,900
Team — 3 HPC engineers @ $120K, Oklahoma market	$360,000
Insurance, property tax, software	$40,000
TOTAL OPEX	**$606,900**

[YEAR-1 NOI]

Underwriting ($4.00 · 65%)	**$1,502,070**
Target ($4.50 · 75%)	**$1,778,010**
Optimistic ($5.00 · 85%)	$2,053,950

Operating floor: the project covers cash operating costs down to roughly $1.22/billed GPU-hr — about a quarter of the underwriting rate. Rate risk is a returns problem long before it is a survival problem.

[RATE SENSITIVITY · Y1 NOI]

SCENARIO	RATE	UTIL	Y1 NOI
Optimistic	$5.00/hr	85%	$2,053,950
Base case — target	$4.50/hr	75%	$1,778,010
Conservative — underwriting basis	**$4.00/hr**	**65%**	**$1,502,070**

[WHERE RESERVED DEMAND COMES FROM — FIVE AUDITED CHANNELS]

CHANNEL	MODEL	STATUS OF THE NUMBERS
Vast.ai — DC Certification	Marketplace host; we set price, buyers pay ~$7.12/GPU-hr on-demand (verified Jul 2026)	Buyer rate verified. Host payout share (~75–80%) is Vast guidance, not a contract — confirm at onboarding.
SF Compute	Exchange; committed blocks	B200 not publicly listed — quote required. Only H100 from $2.02 published.
Shadeform	Aggregator listing across 30+ GPU clouds	Payouts negotiated per listing.
GPUaaS.com	Broker; buyer side $4.00–$4.68/GPU-hr	Buyer range verified on their site; our cut negotiated.
FluidStack / Voltage Park / Crusoe / GMI	Whole-cluster master lease (6–24 mo)	No public rate card — the true single-anchor path, and the slowest to close.

The load-bearing assumption, stated without spin

No platform guarantees a new 64-GPU supplier a payout rate, and no capacity is under signed contract as of this edition. That is precisely why the structure exists: the $4.00 underwriting rate prices the outcome where negotiations land badly, and the demand gate means the server capital never deploys into an unproven market at all. Buyer-side rates in the channel table are verified; our payout share is confirmed only at onboarding — which tranche 1 funds.

[06 · FIVE-YEAR MODEL — PRICED FOR DECLINE]

WE MODEL RATES FALLING AND HARDWARE WORTH ZERO.

The revenue line declines 10% every year as newer silicon ships, operating costs are held flat, and residual hardware value at Year 5 is assumed to be **zero** — where the previous edition assumed $450K. V100s from 2017 still rent today, so zero is deliberately harsher than history. Both cases below share those assumptions; they differ only in the Year-1 rate that starts the curve.

TARGET · $4.50	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Gross revenue	$2,384,910	$2,146,419	$1,931,777	$1,738,599	$1,564,739
Operating costs	$606,900	$606,900	$606,900	$606,900	$606,900
Net operating income	**$1,778,010**	**$1,539,519**	**$1,324,877**	**$1,131,699**	**$957,839**
Investor distribution (pref + 80%)	**$1,496,570**	**$1,305,777**	**$1,134,064**	**$979,521**	**$840,433**

UNDERWRITING · $4.00	YEAR 1	YEAR 2	YEAR 3	YEAR 4	YEAR 5
Gross revenue	$2,108,970	$1,898,073	$1,708,266	$1,537,439	$1,383,695
Operating costs	$606,900	$606,900	$606,900	$606,900	$606,900
Net operating income	**$1,502,070**	**$1,291,173**	**$1,101,366**	**$930,539**	**$776,795**
Investor distribution (pref + 80%)	**$1,275,818**	**$1,107,100**	**$955,254**	**$818,593**	**$695,598**

[WHAT THE MODEL EXCLUDES — DELIBERATELY]

- [✓] No Phase 1B, Phase 2 or Phase 3 revenue
- [✓] No solar savings (~500 kW of site capacity unmodeled)
- [✓] No z1Power cross-sell to tenants
- [✓] No residual hardware value at Year 5
- [✓] No Years 6–7, though the hardware serves them — at the target curve they add roughly $1,461,904 of further NOI
- [✓] No rate upside if the market holds instead of decaying

These are real options the site holds. The returns on the next page do not need them.

[READ THE FLOOR HONESTLY]

At the underwriting rate, with decay and zero residual, five years of distributions roughly return capital (1.05× MOIC) — protected in ordering by the 8% preference, but not a return worth having on its own. We print that number rather than hide it because it defines what this investment actually is: **the floor case proves capital survives bad luck; the return case is the target rate, the stabilisation refinance, and the years and phases the model excludes.** An investor who does not believe $4.50 is landable, or that a cash-flowing cluster can refinance, should not invest — and this page just told you so.

[07 · STRUCTURE — BUILT TO BE TAKEN]

ALL EQUITY. 8% PREF. SPONSOR PAID FOR PERFORMANCE.

No debt at close — the previous edition assumed $3,603,769 of senior debt with no term sheet, which stacked financing risk on execution risk and produced headline returns too large to believe. This edition raises $4,635,121 of equity, gives investors an 8% cumulative preferred return, splits distributions 80/20 above it, and treats debt as a **stabilisation refinance** — raised against operating history once it exists, when it is cheap, instead of assumed before it exists, when it is fiction.

THE WATERFALL, EACH QUARTER	
1 · Operating costs and reserves	first
2 · Investor preferred return — 8% cumulative on drawn capital	$370,810/yr
3 · Split above the pref	**80% investors · 20% sponsor**

The sponsor contributes the site, buildings, transformer, fiber contract and z1Power pricing, takes no fees and no markup, and earns nothing above operating costs until investors have their 8%. Sponsor economics are a promote, not a toll.

SCENARIO	Y1 INV. CASH	5-YR MOIC	IRR
A · Underwriting $4.00, no refi — **the floor**	$1,275,818 (28%)	1.05×	1.7%
B · Target $4.50, no refi	$1,496,570 (32%)	1.24×	8.6%
C · Target + stabilisation refi (~50% LTV)	**82% of capital back**	—	**17.4%**

Scenario C: after two full billing quarters, borrow ~$2,317,560 against a cash-flowing cluster (annual service $577,305; DSCR 2.6× even at the underwriting rate) and distribute proceeds — 82% of capital returned inside Year 1, with the pref then accruing on the reduced base. Illustrative: no lender term sheet exists, and none is assumed at close. A 7-year hold at target with no refi and zero residual runs 1.53× / 14.3%.

[TIER 01]

POD PARTNER

$250,000

Share of raise	**5.4%**
Y1 distribution — target	**$80,719**
Y1 distribution — underwriting	$68,813
Capital called at close	$53,996

Quarterly distributions + reporting, annual site day.

[TIER 02]

RACK PARTNER

$500,000

Share of raise	**10.8%**
Y1 distribution — target	**$161,438**
Y1 distribution — underwriting	$137,625
Capital called at close	$107,993

Adds: priority GPU allocation for portfolio companies at reserved pricing.

[TIER 03]

CORE PARTNER

$1,250,000

Share of raise	**27.0%**
Y1 distribution — target	**$403,595**
Y1 distribution — underwriting	$344,063
Capital called at close	$269,982

Adds: advisory board seat, quarterly financial review, first refusal on Phase 1B.

[TIER 04]

SITE PARTNER

$2,500,000

Share of raise	**53.9%**
Y1 distribution — target	**$807,190**
Y1 distribution — underwriting	$688,125
Capital called at close	$539,965

Adds: board seat, co-branding, Phase 1B/2/3 first refusal across the 30-acre site.

Capital is called in two tranches — roughly 22% at close, the balance only if the demand gate clears. If it never clears, the uncalled 78% is never at risk. Final structure, security type and terms with securities counsel; illustrative economics, not an offer.

[08 · WHAT THIS BECOMES]

PHASE 1A IS 4% OF THE TRANSFORMER.

[PHASE 1A · THIS RAISE]

64 GPUs · 114.4 kW

Building 1. Two-tranche, demand-gated. Revenue ~120 days after the gate clears.

[PHASE 1B · NEXT]

Building 1 fill-out

Scope and timing not yet specified — which is why this edition's UPS and cooling fixes size Building 1's infrastructure ahead of the load, not at it.

[PHASE 2–3 · FUNDED BY CASH FLOW]

Bldg 2 + solar

Second and third shells already exist. ~500 kW of solar with z1Power storage at cost. The transformer supports roughly 24× today's load before any utility upgrade.

[RISKS & MITIGATIONS — STATED, NOT BURIED]

RISK	MITIGATION
Reserved rate is a target, not a signature	Underwritten at $4.00, below the verified band's floor. The demand gate converts this from a capital risk into a time risk: if commitments don't materialise at ≥$4.00, the server tranche is never called and maximum exposure is tranche 1.
Rates fall faster than 10%/yr	Zero residual already assumed; cash operating floor ~$1.22/GPU-hr; reserved capacity billed regardless of utilisation. The floor scenario on page 07 prices this outcome, in print.
Refinance never materialises	It is not in the base case. Scenarios A and B assume no debt at any point; C is labelled illustrative. Nothing in the structure requires a lender.
Sponsor concentration	Three salaried engineers run operations; assets sit in the project entity; key-man insurance funded; runbooks a 90-day deliverable; the promote pays the sponsor only above the investor pref.
Engineering sizing	Resolved by budget in this edition: fourth CRAC (true cooling N+1), UPS re-size allowance, optics for all 64 GPUs, licensed PE review — $113,400 funded in tranche 1, verified before tranche 2 is callable.
Build overruns	15% contingency ($604,581) carried openly. Site, power and buildings exist. Fixed-price HVAC/electrical bids and NVMe price-lock are tranche-1 deliverables.

[NEXT STEP]

The full model workbook (live waterfall, gate and refinance levers), the itemized build blueprint, the verified demand-channel workbook, the Dobson quote, and the audit log are in the data room. Terms are finalized with counsel at commitment.